Britam
With you every step of the way

AUDITED FINANCIAL RESULTS FOR THE YEAR ENDED 31 DECEMBER 2020

The Board of Directors of Britam Holdings Plc is pleased to announce the audited consolidated results for the year ended 31 December 2020.

PERFORMANCE OVERVIEW

The Group reported a loss before tax of Shs 9.7 billion compared to a profit before tax of Shs 4.6 billion in 2019. Of this loss, Shs 2.3 billion related to a fair valuation loss due to poor equities performance and Shs 2.0 billion related to property impairments. The unfavorable operating environment adversely impacted our investment in associate – HF Group Plc - contributing to the Group results, a share of loss at Shs 823 million and a reduction in the value of this investment by Shs 603 million.

The results were further depressed by a provision for investment losses of Shs 5.2 billion in Wealth Management Fund LLP, a Fund managed by Britam Asset Managers which is a fully owned subsidiary of Britam Holdings PLC. The Holdings Company is committed to support the Fund to fulfil its obligations as they fall due through management oversight of the Fund's operations and the agreed recovery plan.

However, the operating results were better than 2019. Our Gross Earned Premiums (GEP) and Fund Management Fees was up 4.2 percent to Shs 28.8 billion from Shs 27.7 billion in 2019. This is attributed to the growth of our insurance revenues especially the international general insurance business which recorded an increase in GEP of 50.0 percent, contributing 28.0 percent of the Group's GEP and a profit before tax of Shs 832 million up from 38 million in 2019.

The Group's total underlying operating costs also declined by 6.4 percent attributable to prudent cost control measures.

The Group has continued to be resilient in its cash generating ability delivering positive operating cash flows of Shs 7.6 billion and significantly growing its investments in fixed income return assets. The total assets for the Group have closed at Shs 137 billion, a 9.4% growth from 2019 with assets under management closing at Shs 250 billion.

Our Strategy

The Group is in the process of finalizing the 2021-2025 strategy following the end of the 2016-2020 strategy. In 2021, we will focus on;

- Embedding the Customer Centric organizational model organized along customer segments.
- Complete and commence execution of Customer Centric 2021-2025 transformation Strategy.
- Review the profile of our investment assets with a focus on optimization of returns.
- Capitalizing on our investments in technology and the new organizational structure to achieve operational efficiencies and cost management.
- Optimizing our go-to-market approach, developing targeted, customized offerings and grow our customer base.

DIVIDEND

The Board of Directors do not recommend the payment of a dividend. In 2019 a dividend of Shs 25 cents per share totalling to Shs 630,872,000 was paid

Statement of profit or loss and other comprehensive income

	For the year ended 31 December 2020 Shs'000	2019 Shs'000
Revenue		
Gross earned premiums	28,199,619	27,131,870
Less: reinsurance premium ceded	(5,053,986)	(4,021,978)
Net earned premiums	**23,145,633**	**23,109,892**
Fund management fees	621,540	535,414
Net income/(loss) from investment property	(1,470,336)	(747,036)
Interest and dividend income	9,397,384	7,713,830
Net realised gains on financial assets at fair value through profit or loss	(71,156)	477,661
Net unrealised fair value gains/(losses) on financial assets	(2,466,634)	4,300,055
Commissions earned	1,218,404	999,870
Other income	(221,887)	56,566
Total income	**30,152,948**	**36,446,252**
Expenses		
Insurance claims and loss adjustment expenses	21,080,743	17,131,739
Amount recoverable from reinsurers	(2,431,371)	(1,689,234)
Net insurance benefits and claims	**18,649,372**	**15,442,505**
Interest payments/increase in unit value	2,759,170	3,889,475
Operating and other expenses	13,455,260	8,794,161
Finance costs	361,547	234,667
Commissions expense	3,802,160	3,461,322
Total expenses	**39,027,509**	**31,822,130**
Profit/(loss) before share of the (loss) of the associate	(8,874,561)	4,624,122
Share of (loss) of the associate accounted for using the equity method	(823,049)	(53,099)
Profit/(loss) before income tax	**(9,697,610)**	**4,571,023**
Income tax (expense)/credit	586,071	(1,028,398)
Profit/(loss) for the year	**(9,111,539)**	**3,542,625**
Other comprehensive income:		
- Items that will not be reclassified to profit or loss	(2,436,561)	1,975,614
- Items that may be subsequently reclassified to profit or loss	(131,022)	(97,583)
Total other comprehensive income/(loss)	**(2,567,583)**	**1,878,031**
Total comprehensive income/(loss) for the year	**(11,679,122)**	**5,420,656**
Basic and diluted earnings per share	(3.62)	1.41

Consolidated statement of financial position

	As at 31 December 2020 Shs'000	2019 Shs'000
CAPITAL EMPLOYED		
Share capital	252,344	252,344
Share premium	13,237,451	13,237,451
Other reserves	13,352,432	17,112,694
Accumulated losses	(9,891,877)	(1,306,941)
Shareholders' funds	**16,950,350**	**29,295,548**
Non-controlling interests	**116,482**	**81,278**
Total equity	**17,066,832**	**29,376,826**
Assets		
Property and equipment	902,296	1,134,752
Intangible assets	1,874,081	2,099,919
Right of use asset	566,560	752,613
Investment in associate	1,481,603	2,870,170
Goodwill	1,416,635	1,558,433
Deferred income tax	536,534	777,550
Retirement benefit asset	134,226	168,038
Investment properties	16,443,490	16,414,493
Financial assets at fair value through other comprehensive income	4,940,442	7,231,563
Financial assets at fair value through profit or loss	76,777,040	57,751,830
Government securities and corporate bonds at amortised cost	10,501,818	15,679,639
Mortgage loans and receivables	1,156,003	1,171,693
Loans and receivables to policyholders	1,875,314	1,511,273
Receivables arising out of reinsurance arrangements	772,340	502,722
Receivables arising out of direct insurance arrangements	1,924,733	1,689,488
Reinsurers' share of insurance liabilities	4,940,852	3,742,258
Deferred acquisition costs	707,750	525,997
Other receivables	1,957,847	1,624,170
Current income tax	461,833	381,045
Restricted cash	93,074	80,608
Cash and cash equivalents	7,498,000	7,575,311
Total assets	**136,962,471**	**125,243,565**
Liabilities		
Deferred income tax	2,337,628	3,721,212
Insurance contract liabilities	42,514,867	33,784,402
Payable under deposit administration contracts	48,736,148	42,515,955
Liabilities under investment contracts	3,285,010	3,002,142
Unearned premiums	6,862,364	5,357,764
Lease liability	690,003	844,046
Payables arising from reinsurance arrangements	1,609,954	1,319,214
Borrowings	4,854,923	2,352,716
Provision and other payables	8,978,247	2,886,175
Current income tax	26,495	83,113
Total liabilities	**119,895,639**	**95,866,739**
Net assets	**17,066,832**	**29,376,826**

Consolidated statement of changes in equity

Year ended 31 December 2020	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Accumulated losses Shs'000	Total equity Shs'000	Non-controlling interests Shs'000	Total equity Shs'000
At start of year	**252,344**	**13,237,451**	**17,112,694**	**(1,306,941)**	**29,295,548**	**81,278**	**29,376,826**
Comprehensive income							
Loss for the year	-	-	(962,838)	(8,183,905)	**(9,146,743)**	35,204	**(9,111,539)**
Other comprehensive loss, net of tax	-	-	(2,567,583)	-	**(2,567,583)**	-	**(2,567,583)**
Total comprehensive loss for the year			**(3,530,421)**	**(8,183,905)**	**(11,714,326)**	**35,204**	**(11,679,122)**
Transfer to other reserves			(229,841)	229,841	-	-	-
2019 final dividends paid	-		-	(630,872)	**(630,872)**	-	**(630,872)**
Total transactions with owners of the parent recognised directly in equity	**-**		**(229,841)**	**(401,031)**	**(630,872)**	**-**	**(630,872)**
At end of year	**252,344**	**13,237,451**	**13,352,432**	**(9,891,877)**	**16,950,350**	**116,482**	**17,066,832**

Consolidated statement of changes in equity

Year ended 31 December 2019	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Accumulated losses Shs'000	Total equity Shs'000	Non-controlling interests Shs'000	Total equity Shs'000
At start of year	**252,344**	**13,237,451**	**11,756,927**	**(1,387,488)**	**23,859,234**	**96,936**	**23,956,170**
Comprehensive income							
Profit for the year	-	-	3,433,768	124,515	**3,558,283**	(15,658)	3,542,625
Other comprehensive income, net of tax	-	-	1,878,031	-	1,878,031	-	1,878,031
Total comprehensive income for the year	**-**	**-**	**5,311,799**	**124,515**	**5,436,314**	**(15,658)**	**5,420,656**
Transfer to other reserves	-	-	43,968	(43,968)	-	-	-
Total transactions with owners of the parent recognised directly in equity	**-**	**-**	**43,968**	**(43,968)**	**-**	**-**	**-**
At end of year	**252,344**	**13,237,451**	**17,112,694**	**(1,306,941)**	**29,295,548**	**81,278**	**29,376,826**

Consolidated statement of cash flows

	For the year ended 2020 Shs'000	2019 Shs'000
Cashflows from operating activities		
Cash generated from operations	**8,242,706**	**9,600,994**
Interest paid on lease liability	(120,970)	(118,202)
Income tax paid	(447,388)	(504,040)
Net cash generated from operating activities	**7,674,348**	**8,978,752**
Investing activities		
Purchase of property and equipment	(119,254)	(312,738)
Purchase of intangible assets	(136,637)	(348,424)
Purchase of investment property	(2,268,579)	(825,062)
Proceeds from disposal of property	441,594	103,877
Purchase of quoted shares at fair value through profit or loss	(708,364)	(103,506)
Proceeds of disposal of quoted ordinary shares at fair value through profit or loss	1,740,026	2,091,329
Purchase of unit trusts	(624,159)	(46,450)
Proceeds from disposal of unit trusts	280,929	1,854,198
Purchase of government securities at fair value through profit or loss	(30,566,798)	(21,652,090)
Proceeds from disposal of government securities at fair value through profit or loss	8,918,750	4,178,856
Purchase government securities held at amortised cost	(501,680)	(1,048,984)
Maturities of government securities at amortised cost	5,074,859	1,232,465
Maturities of corporate bonds at amortised cost	690,771	348,690
Mortgage loans advanced	(151,263)	(117,205)
Mortgage loans repayments	285,623	280,245
Policy loans advanced	(1,311,976)	(1,438,600)
Policy loans repayments	1,115,599	1,448,168
Dividends received from equity investments at fair value through profit or loss	186,213	556,670
Dividends received from equity investments at fair value through other comprehensive income	-	270,339
Rent and interest received	8,089,917	6,007,339
Net cash used in investing activities	**(9,564,429)**	**(7,520,883)**
Cash flows from financing activities		
Dividends paid	(630,872)	-
Proceeds from borrowings	4,675,000	3,563,831
Repayment of bank loan	(1,876,274)	(3,999,250)
Interest paid	(150,682)	(103,333)
Payment of the principal portion of the lease liability	(204,402)	(65,207)
Net cash used in financing activities	**1,812,770**	**(603,959)**
Increase in cash and cash equivalents	(77,311)	853,910
Cash and cash equivalents at start of year	7,575,311	6,721,401
Cash and cash equivalents at end of year	**7,498,000**	**7,575,311**